of the finished products.

6. Cheap labour - Cheap and skilled labour is easily available from the surrounding areas.
7. Availability of power - Cheap and sufficient power is easily available here.

71. Statement I: CORRECT—Iron and steel industry is a basic industry and its products serve as a raw material for a number of other industries.

Although iron and steel manufacturing activity in India is very old, modern iron and steel industry started with the establishment of 'Bengal Iron and Steel Works' at Kulti in West Bengal in 1817. Tata Iron and Steel Company was established at Jamshedpur in 1907. This was followed by 'Indian Iron and Steel plant' at Burnpur in 1919. All the three plants were established in the private sector. The first public sector iron and steel plant, which is now known as 'Visvesvarayya Iron and Steel works', was established at Bhadrawati in 1923.

Statement II: CORRECT—The iron and steel industry made rapid progress after independence. The production capacity has increased in all the existing units. Three new integrated steel plants were established at Rourkela, Bhilai and Durgapur. Bokaro steel plant was established under public sector in 1964.

Bokaro and Bhilai plants were set up with the collaboration of the former Soviet Union. Durgapur steel plant was set up in Collaboration with United Kingdom while Rourkela plant was established with the help of Germany. Vishakhapatnam and Salem plants were set up afterwards.

72. Statement I: CORRECT—The process of industrialisation in India can be divided into two parts - before and after 1992. During first 40 years after independence, the Indian economy had diversified and expanded very fast. But this growth was characterised by rigid controls and regulations.

In August 1992, Government of India took a bold step by changing its economic policies from state control to market forces. A need was felt to give more responsibility to private capital and enterprise, both domestic as well as foreign. In reponse to this, the new industrial policy of liberalisation, privatisation and